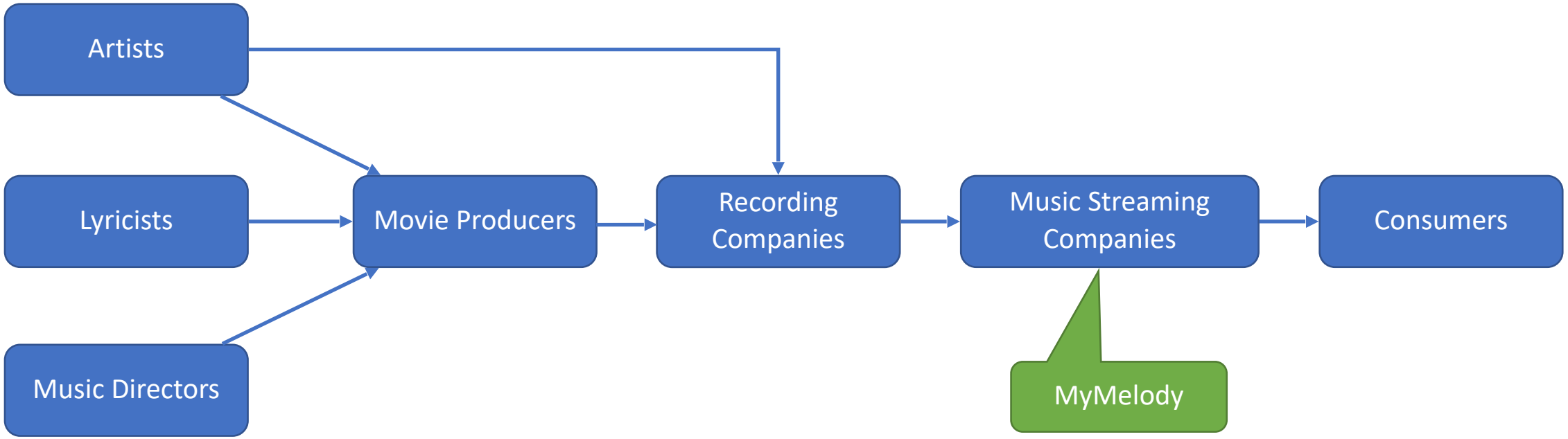


Improving User Engagement for MyMelody – music streaming app

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Value Chain in a Music Streaming Industry

Market | Product | Monetization



MyMelody – Current Features



Discover your music



Recommendations



Play Offline



Available on both web and mobile

Ideation of new product features

Market | **Product** | Monetization

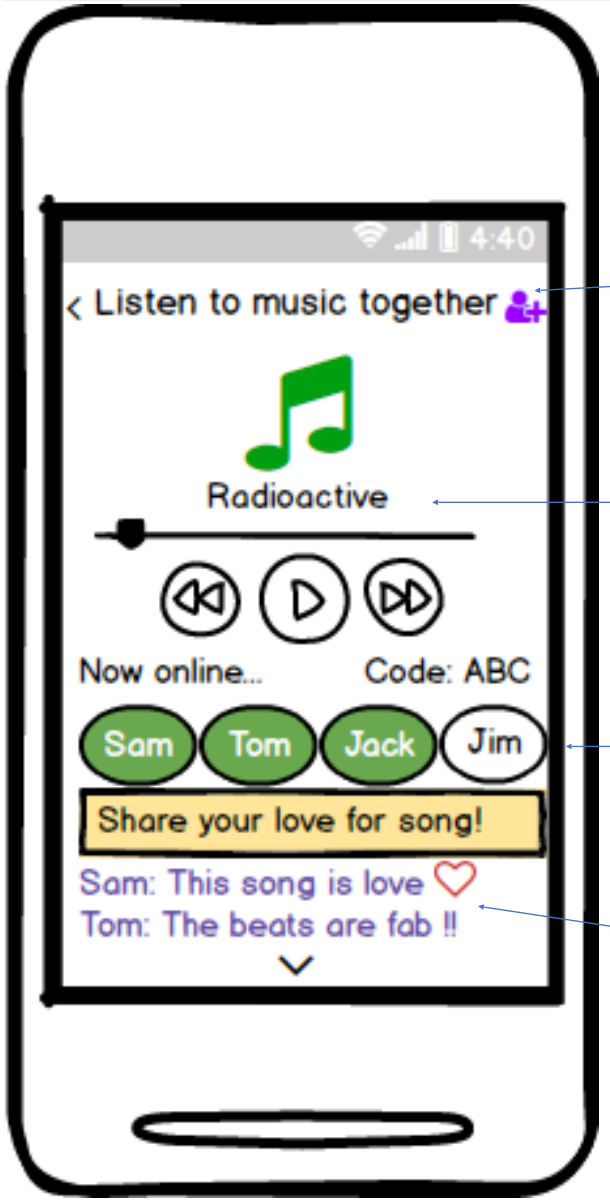
	Inspiration	Ideation	North Star Metric
1	*"I want to engage with my friends and family over common tastes in music"*	*Socialize the music listening experience*	*User retention and engagement*
2	*"I want to listen to music as per my current mood"*	*Music Mood Analyzer based on lyrics*	*User retention and engagement*
3	*"I wish I could store unlimited songs on cloud and download unlimited songs"*	*Cloud Storage and Offline Play feature*	*User acquisition and retention*

Product Feature that would drive highest user engagement/ retention ***– Socialize the music listening experience***

Socialize the Music Listening Experience

	Inspiration	Ideation	Implementation & Monetization
1	*"I want to experience the joy of listening music with my friends"*	*Social Listening Platform*	- *Create a platform where users can invite friends for collaborative music listening* - *Feature can be made available with Premium account*
2	*"I want to plan for the next party playlist with my friends"*	*Music Planner*	- *User can start a collaborative playlist for the next party and also can mix the songs* - *Remix mixing feature can be made available with Premium account*
3	*"I wish I could know what my favorite stars tastes in music is"*	*Star Playlists*	- *MyMelody can curate celebrities' playlists to create a buzz which users can purchase in-app* - *Exclusive playlists can be made available free to Premium account*

MyGang: Listen to music together



"Users feel more engaged with a platform if they get a social experience on it"

Invite your friends to join Live Listening Page via Unique Code

Play the song of your choice from the vast library

See the friends who are online and listening with you

Scroll through live chat and enjoy sharing your thoughts on music

- *Premium Account User can invite other Premium Account User to join his 'Live Music Page'*
- *Other Users can join and leave anytime provided the user who has created the 'Live Music Page' is active with the same session*
- *A session with a unique code will be disabled once the user who have created it ends the session*
- *Any new user who has not received the unique code link will require permission of the user who have created 'Live Music Page' to join*

MyParty: Collaborate for the next party



"Users want more collaborative and personalized experience in creating playlists"

Add your friends to collaborate on a playlist or make a remix

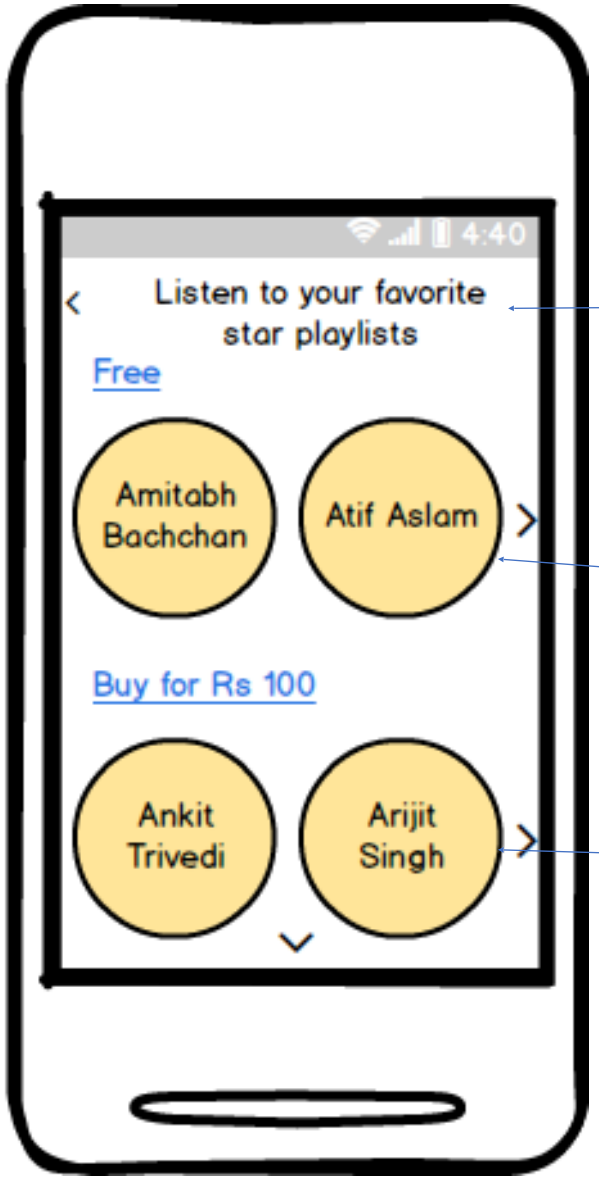
The list of all collaborators can be found here

The list of songs added by all the collaborators

Create your own remix by mixing the songs from the vast library

- *Premium User can add other users (Basic/ Premium) to collaborate on a Playlist.*
- *Playlist can be created either by adding songs or mixings songs*
- *Recommendation engine on which songs can be mixed together will be a value add for the user*
- *Premium user should experience "Be his own DJ" with this feature*

MyFav: Listen to your favorite star playlists



"Users in India have high affinity towards following super stars or singers"

Curated playlists from the famous celebrities

Free playlists for basic users

Option to buy exclusive playlists in-app for basic users

- *Indian stars has a huge fan following and Indians like to follow the lifestyle of their icons*
- *Social experience where users can get access to exclusive playlists of the celebrities*
- *Playlists will be free for the Premium account user*

Evaluation of the Product Success

Goal

Quantitative: Uplift in user engagement/ retention with MyMelody
Qualitative: Develop a social experience of music listening for the user

Success Metrics:

1. *Increase in # Weekly Active Users (Users who streamed at least 1 song in a week)*
2. *Increase in # Monthly Active Users (Users who streamed at least 1 song in a month)*
3. *Increase in average weekly session length per user (# hours per week a user is active on the platform)*

Opportunities

1. *How can I create a community of music lovers on MyMelody to drive user engagement?*
2. *How can I engage friends/ family on MyMelody in order to driver user engagement?*
3. *How can I show relevant music content by using artists/ singers as anchors?*

Hypotheses

For building the new product features

We believe that building the social music experience on MyMelody will make the user to come back and spend more time on app. We will know this is true when we see increases in Live Music Pages, Collaborative Playlists and Star Playlist Downloads.

Risk Factors

1. *Decrease in number of new acquisitions on the app due to issues with app functionality*
2. *Decrease in number of interactions (such as click, downloads, comments, etc.) with the app*

Monitoring:

1. *Automatic dashboard for monitoring critical to business metrics and observing pre and post-product launch trends*
2. *Resolving critical-to-quality issues on priority by fixing bugs and crashes real-time*
3. *Setting up a project team for quick fix until the new product feature is stabilized*

Monetization strategy for the product

Premium Subscription Plan	*Social Experience Features will only be activated for the users who buy a premium plan on the app* *This mechanism will ensure that we are increasing our paying subscribers base* *The feature have to be competitively priced* *Looking at the current market trends,* ***yearly subscription of this plan can be priced at Rs 500***
Costs Involved	*In order to build the product, we have estimated bandwidth of 2 Full time Engineers and 1 PM* *Other costs included discount on the subscription plan to build initial traction, and online and offline marketing efforts* *We have ignored the other costs such as content right payments, royalty payments, overhead payments since these will be part of the usual business and should not be added in the new product feature*
Revenue Streams	*Revenue sources will be:* - *Subscription Plan per year* - *In-app exclusive playlist downloads for basic users*

3- Year Revenue Model: Summary

Costs			
Assumptions	**Year 1**	**Year 2**	**Year 3**
Total Subscriptions to Premium Plan	4,50,000	5,40,000	7,02,000
Increase in subscriptions	4,50,000	90,000	1,62,000
Growth		20%	30%
Development Costs			
Manpower cost	60,00,000	62,40,000	64,89,600
Inflation		*4%*	*4%*
Total Development Costs	**60,00,000**	**62,40,000**	**64,89,600**
Subcription Plan Discounts			
Subscription plan per user per year	0.5	0.5	0.5
Rewards per subscription plan	50	50	50
Overall discounts per user	25	25	25
No. of users availing	90,000	1,08,000	1,40,400
Total Subscription Plan Costs	**22,50,000**	**27,00,000**	**35,10,000**
Online Marketing Costs			
SEO Optimization	23,94,000	24,89,760	25,89,350
Social Media Marketing	58,80,000	61,15,200	63,59,808
Inflation		*4%*	*4%*
Total Marketing Costs	**82,74,000**	**86,04,960**	**89,49,158**
Offline Marketing Costs			
Celebrity endorsement costs	10000000	10000000	10000000
Marketing costs per event	1000000	1000000	1000000
Number of events per year	4	4	4
Total Marketing costs	40,00,000	40,00,000	40,00,000
Total Marketing Costs	**1,40,00,000**	**1,40,00,000**	**1,40,00,000**
Total Costs	**3,05,24,000**	**3,15,44,960**	**3,29,48,758**
CAC	**68**	**58**	**47**

Revenues			
Assumptions	**Year 1**	**Year 2**	**Year 3**
Subscription Plan			
Transactions	225000	270000	351000
Revenue per plan	500	500	500
Total Subscription Plan Revenue	**11,25,00,000**	**13,50,00,000**	**17,55,00,000**
In-app purchases			
Transactions per year	2	2	2
Average in-app purchase	10	10	10
Number of users who do in-app purchase	90,000	1,08,000	1,40,400
Total In-app Purchase Revenue	**18,00,000**	**21,60,000**	**28,08,000**
Total Revenue	**11,43,00,000**	**13,71,60,000**	**17,83,08,000**
ARPU	**254**	**254**	**254**

	Year 1	Year 2	Year 3
# Users	4,50,000	5,40,000	7,02,000
Cost per user	68	58	47
Revenue per user	254	254	254
Profits per user	186	196	207

3- Year Revenue Model: Market Assumptions

Assumption	Data	Type	Source
Total Number of Users	9,00,00,000		https://www.statista.com/outlook/209/119/music-streaming/india
Conversion of users to our product in 1st year	0.5%		Estimate
Users in 1st Year	450000		Statista: 2019 Inflation in India - 4% Yearly
Exchange Rate	70		USD/INR
Development			
Manpower cost	60,00,000	Yearly	2 Full Time Engineer, 1 Full Time PM
SEO optimization	7,98,000	Yearly	https://www.webfx.com/SEO-Pricing.html
Subscription Plan Discount			
Price of subscription plan	500	Yearly plan	Estimate
Rewards per subscription plan	50	Acquisition discount	10% of the subscription plan amount is given as discounts
Marketing costs			
Social Media Marketing	58,80,000	Yearly	https://www.webfx.com/Social-Media-Pricing.html
Celebrity Endorsement costs	1,00,00,000	12-month endorsement	Industry benchmarking